WANTED: A REVAMP

India's textile exports are stagnating due to a host of structural bottlenecks. Here are the fixes

THE FIBRE CHALLENGE

↘ **PROBLEMS:** India is heavily dependent on cotton even as global demand shifts towards man-made fibres (MMFs) used in sportswear, winterwear, athleisure and technical textiles. Cotton garments still account for nearly 85% of exports, while low productivity and high duties on superior cotton imports raise costs further

↘ **SOLUTIONS:** Shed dependence on cotton and expand aggressively into MMF-based apparel and technical textiles, improve cotton output through the Mission for Cotton Productivity, reduce duties on quality cotton imports

FRAGMENTED UNITS

↘ **PROBLEMS:** Most units are small and fragmented, unlike large integrated factories in Bangladesh, China and Vietnam. Dispersed clusters raise logistics costs, slow turnaround times and reduce efficiency for large export orders

↘ **SOLUTIONS:** Develop integrated textile clusters through PM MITRA parks, consolidate supply chains, improve logistics connectivity and encourage scale-based manufacturing

OUTDATED LOOMS

↘ **PROBLEMS:** Much of India's textile machinery is outdated, lowering productivity and competitiveness. Automation levels are low and dependence on imported machinery increases costs

↘ **SOLUTIONS:** Accelerate technology upgrades, reduce customs duties on advanced machinery, promote automation and modernise MSME units

LABOUR WOES

↘ **PROBLEMS:** The industry depends heavily on migrant labour, making production vulnerable to disruptions. Manufacturing hubs are far from labour catchment areas, raising housing and wage costs, while skill programmes have failed to meet modern industry requirements

↘ **SOLUTIONS:** Create more stable labour ecosystems near manufacturing hubs and upgrade workforce capabilities for higher-value production

POLICY HURDLES

↘ **PROBLEMS:** High duties on raw materials and machinery raise production costs, while GST and policy distortions dampen domestic demand. India also exports lower-value yarn and fabric, while competitors capture the more profitable garmenting segment and also benefit from preferential and zero-tariff access in key markets

↘ **SOLUTIONS:** Use FTAs to expand market access, rationalise duties and GST structures. Convert non-exporting districts into export hubs, positioning India as a supplier of sustainable, high-quality products. Diversify export markets away from the volatile US towards Australia, New Zealand, Japan, the UK, the EU and South America

the town's gradual decline reflects the industry's failure to modernise. "Twenty-five years ago, Bhiwandi used to have 700,000-800,000 looms. Today there are around 400,000-500,000 only," he says. Of his own 120 looms, only 20 are modern. The rest date back to 1948. Imported yarn from China is often nearly 25 per cent cheaper than domestic yarn, making Indian production less competitive. "Over the past 20 years, the textile sector did not upgrade itself technologically enough," says Jaipuria.

LOW PRODUCTIVITY

China's advantage today is no longer simply cheap labour. It is productivity, automation, technological depth and integrated supply chains. Labour productivity in India remains significantly lower. "Even today, one worker manages one embroidery machine, whereas in China, one person can manage four," says Peshawari. Labour itself remains another structural weakness. Textile manufacturing hubs such as Delhi-NCR, Bengaluru, Chennai and Tiruppur are located far from major labour catchment regions, increasing costs for both housing and wages. Skill development programmes have also struggled to deliver adequately trained workers for increasingly sophisticated manufacturing requirements.

At the policy level, the industry argues that India has often made exporting harder for itself. While finished garment imports remain relatively open, duties on critical raw materials and machinery raise domestic production costs. High-end textile machinery is largely imported, increasing dependence on foreign suppliers. Industry leaders argue that temporarily reducing customs duties on such machinery could accelerate modernisation. Consumer trends have also shifted unfavourably. According to CMAI's Mehta, discretionary spending is increasingly moving towards travel and lifestyle experiences rather than apparel purchases. An 18 per cent GST on garments priced above Rs 2,500 has further affected demand in the mid-range segment. "This is based on a mistaken belief that the middle class buy clothes only up to Rs 2,500," Mehta says.